main rail network. In August 2014, the line was extended to Shigatse in southern Tibet, not far from the Nepalese border. There have been speculations about the railway being extended even farther, down to Zhangmu on the border and perhaps even to Kathmandu, which would be highly controversial considering India's sensitivities. China has also been increasingly involved in infrastructure projects inside Nepal such as in Lumbini, the birthplace of the Buddha right on the Indian border, and the construction of a road from Pokhara to Baglung, west of Kathmandu.

Nepal has sometimes been described as 'a jam between two boulders' and the Nepalese are without doubt looking to further strengthen their economic and other ties with China to fulfil the country's long-standing policy of being less dependent on India. But, as the French news agency Agence France-Presse (AFP) reported in August 2016, it will have a long way to go to accomplish that. 'Bilateral trade with India between July 2014 and June 2015 amounted to nearly US$4.5 billion, dwarfing China's US$882 million.'[60] But China's share is growing, and the AFP quoted Sujeev Shakya, chairman of the Nepal Economic Forum think tank as saying that 'the perception here is that the Chinese tend to deliver while India keeps talking. Over the years, China has gained more credibility in Nepal because of the pace at which they have put up infrastructure projects.'[61] But the problem for Nepal is that most of the labourers working on those projects are Chinese, and thus the projects have not created any job opportunities for the Nepalese.[62]

Nepal is likely to continue being the 'sick man of the Himalayas', with one political crisis after another and an economy that is heavily dependent on foreign aid. It is also likely to remain the country where India's geopolitical interests, more so than in any other neighbour, collide with those of an increasingly assertive China: India's seeking to protect its traditional influence in Nepal and to guard the crest of the Himalayas, and China looking to establish a string of 'friendly nations' in its periphery, a policy not unlike that of the old Chinese emperors who surrounded their realms with faithful satrapies and tributary states. But it is still in the east that India's and China's divergent interests could boil over into open conflict. And the tension is about much more than the border dispute. It is also about bilateral issues such as managing the water from the Brahmaputra, the wider geopolitical contest in the Indian Ocean—and,